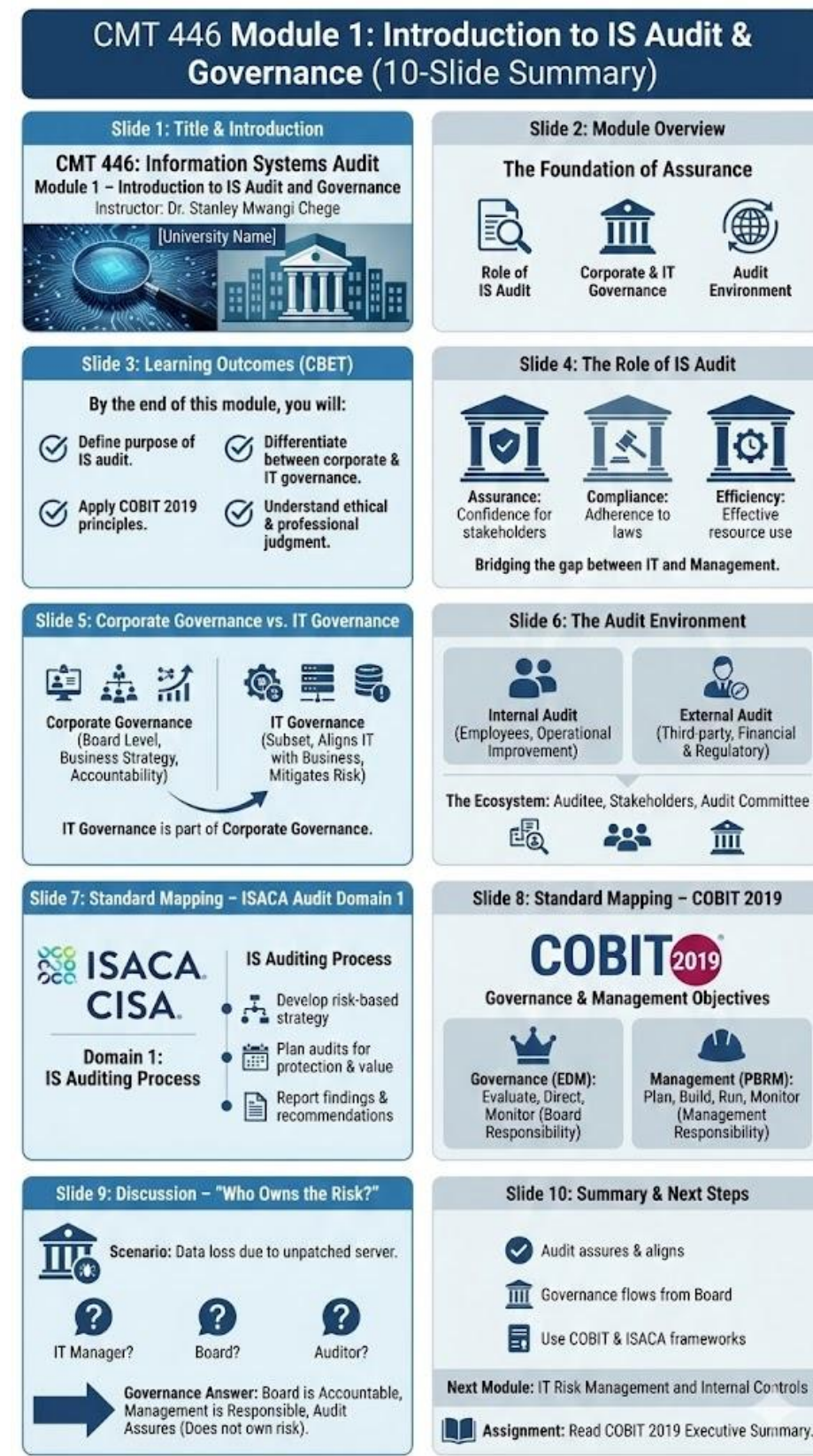


CMT 446 Module 1: Introduction to IS Audit and Governance, designed to introduce students to the foundational concepts and standards found in your course outline.



Slide 1: Title Slide

- **Title:** CMT 446: Information Systems Audit
 - **Subtitle:** Module 1 – Introduction to IS Audit and Governance
 - **Instructor:** Dr. Stanley Mwangi Chege
 - **Institution:** CUEA
 - **Visual:**
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Slide 2: Module Overview

- **Theme:** The Foundation of Assurance
- **Key Topics:**
 - The Role of Information Systems (IS) Audit ¹
 - Corporate Governance & IT Governance ²
 - The Audit Environment ³
- **Standards Focus:**
 - ISACA Audit Domain 1
 - COBIT 2019 (Governance System) ⁴

Speaker Notes: "Welcome to CMT 446. In this first module, we aren't just looking at technology; we are looking at *control*. We will define what an IS auditor actually does and how they fit into the larger corporate structure."

Slide 3: Learning Outcomes (CBET)

- **By the end of this module, you will be able to:**
 1. **Define** the specific purpose of IS audit within an organization.
 2. **Differentiate** between corporate governance and IT governance.
 3. **Apply** the principles of the COBIT 2019 governance system to real-world scenarios.
 4. **Understand** the ethical and professional judgment required in audit engagements⁵.

Speaker Notes: "Our goal is to move beyond just 'checking boxes.' We want to evaluate if IT is actually delivering value and if risks are being managed."

Slide 4: The Role of IS Audit

- **Definition:** An independent assessment of an organization's IS policies, procedures, and operations.

- **Key Objectives:**
 - **Assurance:** Providing confidence to stakeholders that systems are secure.
 - **Compliance:** Ensuring adherence to laws and regulations.
 - **Efficiency:** Verifying that IT resources are being used effectively.
- **The "Gap":** Bridging the understanding between IT (technical) and Management (strategic).

Speaker Notes: "Think of the IS Auditor as the translator and the watchdog. We tell the Board of Directors if the money they spent on IT is safe and working as intended."

Slide 5: Corporate Governance vs. IT Governance

- **Corporate Governance:**
 - The system by which companies are directed and controlled (Board level).
 - Focus: Business strategy, stakeholder value, and accountability⁶.
- **IT Governance:**
 - A subset of corporate governance.
 - Focus: Ensuring IT aligns with business goals and mitigates IT risks.
- **Key Concept:** IT Governance is *part* of Corporate Governance, not a separate island.

Speaker Notes: "If Corporate Governance is the destination of the ship, IT Governance ensures the engine room (Technology) is powering the ship in the right direction."

Slide 6: The Audit Environment

- **Internal vs. External Audit:**
 - **Internal:** Employees of the company; focus on improving operations and internal controls.
 - **External:** Third-party firms; focus on financial statement accuracy and regulatory compliance.
- **The Ecosystem:**
 - **Auditee:** The department being audited.
 - **Stakeholders:** Shareholders, Regulators, Customers.
 - **Audit Committee:** The board members who oversee the audit function.

Speaker Notes: "Understanding the 'Environment' means knowing who you are reporting to. Are you helping the manager fix a bug (Internal), or are you telling the government the bank is safe (External)?"

Slide 7: Standard Mapping – ISACA Audit Domain 1

- **Framework:** ISACA CISA (Certified Information Systems Auditor)
- **Domain 1: Information Systems Auditing Process**
 - Developing a risk-based audit strategy.
 - Planning audits to determine whether information systems are protected, controlled, and provide value.
 - Reporting audit findings and making recommendations.

Speaker Notes: "This course aligns with ISACA standards. Domain 1 is your playbook. It tells you *how* to plan and execute the audit professionally."

Slide 8: Standard Mapping – COBIT 2019

- **Framework:** COBIT 2019 (Control Objectives for Information and Related Technologies)
- **The Core Model:**
 - **Governance (EDM):** Evaluate, Direct, Monitor (Board Responsibility).
 - **Management (PBRM):** Plan, Build, Run, Monitor (Management Responsibility).
- **Why we use it:** It provides a common language for bridging the gap between control requirements and technical issues⁷.

Speaker Notes: "COBIT is the gold standard for IT Governance. As an auditor, you use COBIT to check if management is doing their job properly."

Slide 9: Discussion – "Who Owns the Risk?"

- **Scenario:** A bank loses customer data due to an unpatched server.
- **Discussion Points:**
 - Is it the IT Manager's fault for not patching?
 - Is it the Board's fault for not allocating budget for security tools?
 - Is it the Auditor's fault for not catching it earlier?
- **The Governance Answer:** The Board is ultimately accountable; Management is responsible for execution; Audit provides assurance (but does not own the risk).

Speaker Notes: "This is a classic interview question. Remember: Auditors do not own the risk. We assess it. The business owns the risk."

Slide 10: Summary & Next Steps

- **Recap:**
 - IS Audit provides assurance and ensures alignment.
 - Governance comes from the top (Board) and flows down to IT.
 - We use frameworks like COBIT 2019 and ISACA standards to remain objective.
- **Next Module:** Module 2 – IT Risk Management and Internal Controls⁸.
- **Assignment:** Read the executive summary of the COBIT 2019 Framework.

Quiz: CMT 446 Module 1 – Introduction to IS Audit and Governance

1. According to the course description, CMT 446 examines IS auditing alongside which three other key pillars?

- A. Programming, Networking, and Database Management
- B. Governance, Risk Management, and Compliance
- C. Mobile Security, Artificial Intelligence, and Cloud Computing
- D. Marketing, Sales, and Human Resources

2. Which of the following is listed as a primary "Indicative Content" topic for Module 1?

- A. Mobile Malware
- B. Corporate Governance
- C. Neural Network Basics
- D. Deep Learning Architectures

3. Which specific standard/framework is mapped to the "Governance system" topic in Module 1?

- A. ISO/IEC 27001 Annex A
- B. NIST AI RMF
- C. COBIT 2019
- D. OWASP MASVS

4. Module 1 covers the "Audit environment." In a professional IS audit context, who is the "Auditee"?

- A. The independent professional performing the examination
- B. The Board of Directors supervising the company
- C. The entity or department whose systems are being examined
- D. The government regulator enforcing laws

5. Which ISACA Audit Domain is explicitly mapped to Module 1?

- A. Domain 1: Information Systems Auditing Process
- B. Domain 2: Governance and Management of IT
- C. Domain 4: Information Systems Operations
- D. Domain 5: Protection of Information Assets

6. What is one of the specific Course Objectives (CBET) relevant to the foundations laid in Module 1?

- A. Design and evaluate secure mobile systems

- B. Conduct information systems audits using professional frameworks
 - C. Implement backpropagation algorithms
 - D. Reverse engineer mobile applications
7. Corporate Governance is best described as:
- A. The specific configuration of firewalls and routers
 - B. The system by which companies are directed and controlled
 - C. The process of debugging software code
 - D. The manual for installing Windows Server
8. In the context of Module 1, what distinguishes "IT Governance" from "Corporate Governance"?
- A. IT Governance is for startups; Corporate Governance is for multinationals.
 - B. IT Governance focuses specifically on aligning IT strategy with business goals and mitigating IT risk.
 - C. Corporate Governance is optional, while IT Governance is mandatory by law.
 - D. There is no difference; they are synonymous.
9. Based on the "Role of IS Audit" (Indicative Content), an IS Auditor's primary responsibility is to:
- A. Implement security patches on servers
 - B. Provide independent assurance and evaluation of controls
 - C. Manage the IT department's daily budget
 - D. Develop the company's website
10. Which of the following topics is NOT part of CMT 446 Module 1?
- A. Audit environment
 - B. Role of IS audit
 - C. Disaster Recovery (DR)
 - D. Corporate governance
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Answer Key & Explanations

1. **B** – The course description states the course examines "governance, risk management, and compliance"¹.
2. **B** – "Corporate governance" is explicitly listed under the Indicative Content for Module 1².
3. **C** – The outline maps "COBIT 2019- Governance system" to Module 1³.

4. **C** – The "Audit environment" ⁴ involves the relationship between the Auditor, the Auditee (the entity being checked), and the Stakeholders.
5. **A** – "ISACA Audit Domain 1" is the mapped standard for Module 1 ⁵.
6. **B** – A key objective is to "Conduct information systems audits using professional frameworks" ⁶. (Option A is for the Mobile Security course ⁷, and Option C is for Neural Networks ⁸).
7. **B** – Corporate governance ⁹ refers to the overarching system of direction and control within an enterprise, distinct from technical configurations.
8. **B** – While Corporate Governance ¹⁰ covers the whole enterprise, IT Governance (covered by COBIT 2019 ¹¹) is the subset ensuring IT sustains and extends the organization's strategies and objectives.
9. **B** – The "Role of IS audit" ¹² is to evaluate and provide assurance, not to perform management duties like patching or budgeting.
10. **C** – Disaster Recovery (DR) is covered in **Module 5**, not Module 1 ¹³.